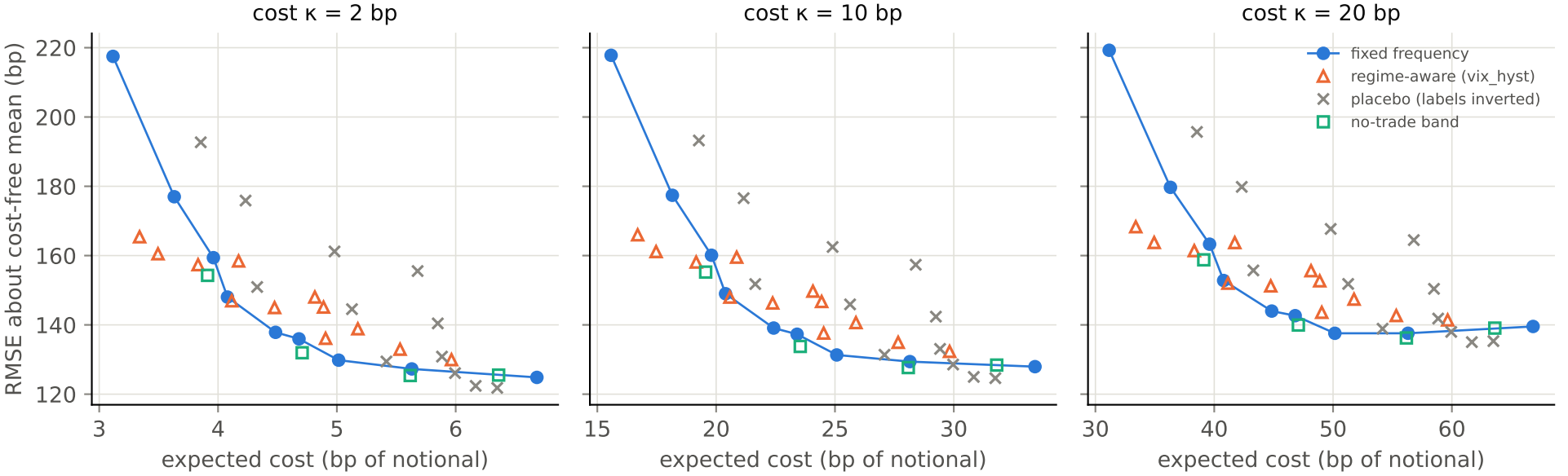
cost κ = 2 bp
cost κ = 10 bp
cost κ = 20 bp
RMSE about cost-free mean (bp)
220
200
180
160
140
120
3
4
5
6
15
20
25
30
30
40
50
60
expected cost (bp of notional)
expected cost (bp of notional)
expected cost (bp of notional)
fixed frequency
regime-aware (vix_hyst)
placebo (labels inverted)
no-trade band